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BUSINESS • EARNINGS

Home Depot Sales and Profit Rise on Housing Rebound

Growing housing market boosts results; company raises 2016 earnings-per-share guidance

By Paul Ziobro

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Home Depot has continued to report rising sales as the housing market grows and Americans become increasingly willing to spend on home-improvement projects. ASSOCIATED PRESS

Home Depot Inc. **HD** **0.48%** ▲ raised its profit forecast for the year, helped by a housing rebound that insulated the home-improvement chain from broader struggles across retail.

The Atlanta-based retailer posted higher second-quarter earnings as sales excluding newly opened and closed stores increased 4.7%, including 5.4% growth in the U.S.

Home Depot is boosted by the rising housing market, which gives homeowners the confidence to take on pricey projects like renovating bathrooms or replacing roofs and air conditioning systems. The chain said the number of transactions over \$900 rose 8.1% in the period and that the number of items purchased at a time rose because more ambitious projects require more tools and parts.

“You’re looking at 40, 50, 60, even 70 items in the basket,” Home Depot Chief Executive Craig Menear said on Tuesday’s earnings call. The company said sales growth to professionals also outpaced its broader business.

In recent trading, Home Depot shares rose 0.6% to \$137.84, off their all-time high of \$139 hit earlier this month.

The results come even as the U.S. economy shows some signs of slowing in the second half of the year, and the retail industry’s trade group projects that second-half sales won’t match those in the first half. Other parts of retailing, such as apparel and electronics, are closing stores to cope with falling demand, a contrast with Home Depot and rival home-improvement chain Lowe’s Cos. Lowe’s reports second-quarter results Wednesday.

Their growth is being driven by external factors. U.S. home values are now just 2% below their July 2006 peak, according to the S&P CoreLogic S&P Indices. Housing turnover is in-line with historical norms and more new households are being formed, all which bode well for home-improvement spending.

Mr. Menear said that home values are forecast to keep rising, which should continue to help the company’s results. “I think this is a tailwind that we’ll see for the foreseeable future,” Mr. Menear said.

For the year, Home Depot raised its forecast for per-share earnings to \$6.31, up from a prior forecast of \$6.27, primarily due to better expense control. Same-store sales are still expected to rise 6.3%.

Home Depot recently renegotiated some health-insurance contracts for its workers. With those savings, “our people costs aren’t going to be as high this year as we anticipated,” Home Depot Chief Financial Officer Carol Tome said on Tuesday’s earnings call.

For the second quarter, profit rose 9.3% to \$2.44 billion, while revenue climbed 6.6% to \$26.47 billion. The number of transactions and the average amount spent per visit both rose during the period by about the same amount.

Home Depot endured a problem with its inventory ordering system in the quarter that caused it to under-order some items, which led to more items out-of-stock. The problem was fixed during the quarter. “If we caused ourselves hurt in one item, it’s very possible the customer picked up another item,” Mr. Menear said.

—*Austen Hufford contributed to this article.*

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